

EQUITY RESEARCH · COMPANY DEEP DIVE

Amazon.com, Inc. (AMZN.US)

Consumer Cyclical · Internet Retail
Large Cap (>\$200B) · Report Date: June 01, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-01

BUY

Blended Target: \$410.08

DCF + Comps + Analyst (see cross-check table)

Implied upside: +55.6%

Price (Jun): \$263.60

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$410.08 (+55.6% vs \$263.60); multi-method valuation after outlier checks.
- Strong revenue growth; healthy margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Amazon.com, Inc. (AMZN) — Consumer Cyclical. Amazon.com, Inc. engages in the retail sale of consumer products, advertising, and subscriptions service through online and physical stores in North America... **BUY** rating; blended target \$410.08. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.84T	Shares Out.	10757.1M
52-Week Range	\$196.00 – \$278.56	P/E (TTM)	30.8x
P/B	6.4x	Beta	1.47
Avg Volume	44.89M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$716.92B	Rev Growth	+12.4%
Op. Margin	13.1%	FCF (TTM)	\$7.70B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	637,959	716,924	805,663	881,512	946,216
Revenue Growth (%)	N/A	12.4%	12.4%	9.4%	7.3%
Net Income (\$M)	59,248	77,670	87,284	95,501	102,511
Net Income Growth (%)	N/A	31.1%	12.4%	9.4%	7.3%
Gross Margin (%)	48.9%	50.3%	50.6%	50.6%	50.6%
Net Margin (%)	9.3%	10.8%	10.8%	10.8%	10.8%
ROE (%)	20.7%	18.9%	21.2%	21.1%	21.5%
EPS (\$)	5.51	7.22	8.11	8.88	9.53
Book Value / Share (\$)	26.58	38.21	38.21	42.13	44.24
P/E (x)	47.86	36.51	32.49	29.69	27.66
P/B (x)	9.92	6.90	6.90	6.26	5.96
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$33.23	-87.4%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	\$263.59	-0.0%	—	Peer median P/E 30.8x
Comps — EV/EBITDA (peer median)	\$429.97	+63.1%	—	Peer median 28.4x
Comps — P/S (peer median)	\$722.41	+174.1%	—	Peer median P/S 10.8x
Comps — Blended (avg. of available multiples)	\$471.99	+79.1%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$312.79	+18.7%	39%	Included in blend
Blended target (weighted)	\$410.08	+55.6%	100%	Comps 61% + Analyst 39%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	12.07%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$18.91B
PV explicit (5Y)	\$94.36B
PV terminal	\$242.76B
Equity value (adj.)	\$357.48B
Implied price	\$33.23
vs. current	-87.4%

INDUSTRY ANALYSIS

1. Industry Overview

Amazon.com, Inc. engages in the retail sale of consumer products, advertising, and subscriptions service through online and physical stores in North America and internationally. The company operates through three segments: North America, International, and Amazon Web Services (AWS). It also manufactures and sells electronic devices, including Kindle, fire tablets, fire TVs, echo, ring, blink,...

2. Key Trends

- Moderate revenue expansion (12.4% YoY)
- Healthy operating margins (13.1%)
- Above-market volatility (β=1.47)
- Sector: Consumer Cyclical | Industry: Internet Retail

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$5.42T	34.3x	30.6x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.58T	28.8x	28.4x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.52T	37.2x	28.8x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$3.44T	27.6x	18.4x	39.3%	+18.3%
AMZN*	Amazon.com, Inc.	\$2.84T	30.8x	19.3x	12.2%	+12.4%

* Subject company. P/e in line with peer median; below-peer profitability. Strong revenue growth; healthy margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.